

# Credit Underwriting Policy (v1)

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This document sets forth the retail credit underwriting policy (Version 1.0, Effective: 2025-01-01) for AEON Credit Service (M) Berhad. It governs credit evaluation, debt service ratio limits, net disposable income thresholds, credit bureau scoring, credit limit derivation, and product terms across unsecured and secured retail financing products.

## 2.1 — Gross Monthly Income Verification

Gross monthly income shall be determined using verified, reliable documentation including the applicant's latest 3 months' salary slips, latest EPF statements, or verified bank account statements showing regular salary crediting. Overtime, allowances, and commissions shall be averaged over a consecutive 6-month period.

## 2.2 — DSR Ceiling for Gross Monthly Income Below RM 3,000

For applicants with a verified gross monthly income of less than RM 3,000, the Debt Service Ratio (DSR) ceiling is strictly capped at 60%. Applications exceeding this 60% threshold shall not be approved under standard underwriting authority.

## 2.3 — DSR Ceiling for Gross Monthly Income RM 3,000 and Above

For applicants with a verified gross monthly income of RM 3,000 or greater, the maximum permissible DSR ceiling is set at 70%. Underwriters must ensure total monthly debt obligations remain strictly within this parameter.

## 2.4 — Binding Nature of Projected DSR

All DSR calculations must incorporate the prospective monthly commitment of the applied financing facility. The projected DSR after the facility is granted is binding and serves as the definitive determinant for ratio-based credit qualification.

## 2.5 — Delinquency and Arrears Thresholds

An applicant who currently maintains any credit facility with AEON Credit Service (M) Berhad or other reporting financial institutions that is 2 or more months in arrears shall be declined immediately without exception.

## 3.1 — Minimum Net Disposable Income (NDI) Floor

The minimum Net Disposable Income (NDI) floor is established at a flat RM 1,500 after the proposed facility is drawn in full. NDI is defined as verified gross monthly income minus all statutory deductions and total projected monthly debt commitments.

## 3.2 — Dependants and Uniform NDI Standard

Under this Policy Version 1.0, applicant dependants are recorded for demographic recordkeeping only. The NDI floor applies as a flat baseline of RM 1,500 across all individual applicant categories, with no differential threshold applied based on the number of dependants.

## 4.1 — CTOS Prime Tier Assessment

Applicants presenting a CTOS credit score of 700 or above qualify for the Prime Tier, representing low credit risk. Such applications may be routed through automated decisioning pipelines and standard risk pricing matrices.

## 4.2 — CTOS Standard Tier Assessment

Applicants presenting a CTOS credit score between 650 and 699 are assigned to the Standard Pricing Tier, subject to standard underwriting verification and confirmation of stable repayment history across external credit bureau records.

## 4.4 — Sub-650 CTOS Score Underwriting Referral

Any application with a CTOS score below 650 is disqualified from automated decisioning pathways. Such files must be referred to a Senior Underwriter for comprehensive manual assessment and holistic credit review.

#### **4.5 — Mandatory Exclusionary Credit Triggers**

An active legal action, record of bankruptcy, winding-up order, or an active Agensi Kaunseling dan Pengurusan Kredit (AKPK) flag registered on CTOS or CCRIS represents an absolute decline trigger across all retail product categories.

#### **5.2 — Initial Credit Limit Multipliers**

Initial credit limits for credit cards and unsecured lines are restricted by income tiers: the approved credit limit must not exceed 2 times gross monthly income for applicants earning below RM 5,000, and must not exceed 3 times gross monthly income for applicants earning RM 5,000 or more.

#### **5.4 — Machine Learning Model Input Safeguards**

In compliance with risk governance frameworks, an applicant's approved credit limit must never be utilized as an input feature in any automated credit scoring or risk estimation model.

#### **6.1 — AEON Credit Card Line Tiers and Annual Fees**

The Company offers three principal Visa card tiers: AEON Classic Visa carries an annual fee of RM 0 (free for life); AEON Gold Visa carries an annual fee of RM 150, waived upon a minimum of 12 swipes per card anniversary year; AEON Platinum Visa carries an annual fee of RM 400, waived upon achieving RM 30,000 in total annual retail spending.

#### **6.2 — Tiered Credit Card Finance Charges**

Card finance charges are calculated on a tiered basis: 15.00% per annum for prompt payers who settle minimum dues on time for 12 consecutive months; 17.00% per annum for cardholders with standard settlement history; and 18.00% per annum for cardholders who incur 2 or more late payments over the preceding 12 months.

#### **6.3 — Personal Financing-i (Tawarruq) Framework**

Personal Financing-i operates under the Shariah contract of Tawarruq with fixed profit rates ranging from 6.88% to 14.88% per annum flat. Financing tenures range from 12 to 84 months, with eligible financing amounts spanning RM 3,000 to RM 150,000.

#### **6.4 — AKPK Debt Management Programme (DMP) Ineligibility**

Applicants actively enrolled in an AKPK Debt Management Programme (DMP) are strictly ineligible for any new unsecured credit facilities, including credit cards and Personal Financing-i.

#### **7.1 — Motorcycle Hire Purchase-i Parameters**

Motorcycle Hire Purchase-i facilities offer a maximum financing margin of up to 90% of the vehicle cash price. Repayment tenures are permitted from a minimum of 12 months up to a maximum of 60 months.

#### **7.2 — Auto Hire Purchase-i and Product Financing Terms**

Auto Hire Purchase-i financing allows a margin of up to 90% with financing tenures extendable up to 108 months. Product (Objective) Financing covers designated consumer durable goods up to approved institutional merchant scheme limits.

#### **8.1 — Customer Complaint Handling and Timelines**

All customer disputes and underwriting complaints lodged with the Company must be formally acknowledged in writing within 2 business days and investigated and resolved within 14 calendar days from receipt.

#### **8.4 — External Dispute Resolution via OFS**

If an underwriting complaint or billing grievance cannot be resolved satisfactorily within the stipulated internal resolution period, the complainant must be informed of their right to escalate the dispute to the Ombudsman for Financial Services (OFS).

### ***Schedule / Reference Table***

| <b>Product Name</b>        | <b>Facility Type</b>                | <b>Profit / Finance Charge</b>    | <b>Financing Tenure / Annual Fee</b>             | <b>Financing Limit / Margin</b> |
|----------------------------|-------------------------------------|-----------------------------------|--------------------------------------------------|---------------------------------|
| AEON Classic Visa          | Unsecured Revolving Credit          | 15.00% to 18.00% p.a.             | Annual Fee: RM 0 (Free for Life)                 | Up to 2x or 3x monthly income   |
| AEON Gold Visa             | Unsecured Revolving Credit          | 15.00% to 18.00% p.a.             | Annual Fee: RM 150 (Waived with 12 swipes/year)  | Up to 2x or 3x monthly income   |
| AEON Platinum Visa         | Unsecured Revolving Credit          | 15.00% to 18.00% p.a.             | Annual Fee: RM 400 (Waived with RM 30,000 spend) | Up to 2x or 3x monthly income   |
| Personal Financing-i       | Unsecured Term Financing (Tawarruq) | 6.88% to 14.88% p.a. flat         | 12 to 84 months                                  | RM 3,000 to RM 150,000          |
| Motorcycle Hire Purchase-i | Secured Asset Financing             | Tiered risk-based profit rate     | 12 to 60 months                                  | Up to 90% margin                |
| Auto Hire Purchase-i       | Secured Asset Financing             | Fixed / Variable competitive rate | Up to 108 months                                 | Up to 90% margin                |